



Funding Your Business

The biggest challenge facing you as an entrepreneur might be sourcing enough money to start your business. Be aware of the different types of funding that are potentially available to you.

Understanding funding

The simplest way to fund your new business is through your personal income or savings. You can then rely on cash from your first sales to develop the business further. This

approach is called “bootstrapping,” and it typically suits businesses with low start-up costs.

If you lack savings, or if your early sales are unlikely to be sufficient to support the business, then you will

need external funding. Taking on debt is one option. Debt takes many forms, such as bank loans, business credit cards (see box, right), and asset financing (borrowing on the basis of your company assets), but

Assessing your options

Choosing a funding route will depend on your personal circumstances as well as the wider economic situation. For example, bootstrapping may work if your business is ideas-based with few overheads. You may feel taking on debt is a viable option if interest rates on borrowing are particularly low, while if you are skilled in social media, crowdfunding may work. Equity funding avoids debt, but the expectations of investors will be a different pressure.

63%
of start-ups are
funded from
personal savings

Smallbiztrends.com, 2019

Bootstrapping



This means funding the business from your own savings or income with little or no outside help.

PROS

- › **No debt** means no repayments and thus no liability if income falters.
- › **Good for business-to-business (B2B) enterprises**, for example, if you offer services or technology.
- › **Suits web-based businesses** and those where staff work remotely.

CONS

- › **Requires creativity and tenacity** to build a business with low funds.
- › **You need skills** to negotiate long payment terms with suppliers.
- › **Not a practical option** if you need large sums, such as to fund premises or to pay staff to work on site.

Debt



This involves borrowing money—bank loans or finance secured against your personal or business assets.

PROS

- › **No need to sell equity** to outside investors, meaning you keep control.
- › **Short-term borrowing helps** with cash flow issues in times of growth.
- › **All profits are yours**, with no need to share with investors.

CONS

- › **Loans mean detailed paperwork** in the form of a business plan and cash flow projection.
- › **You may need security** for a loan.
- › **Interest rates can be much higher** if your lender sees you as high risk.